EC5001
Introduction to EC

Lecture 2:
E-business opportunities & Strategy

Recap – What are E-Commerce & E-Business?

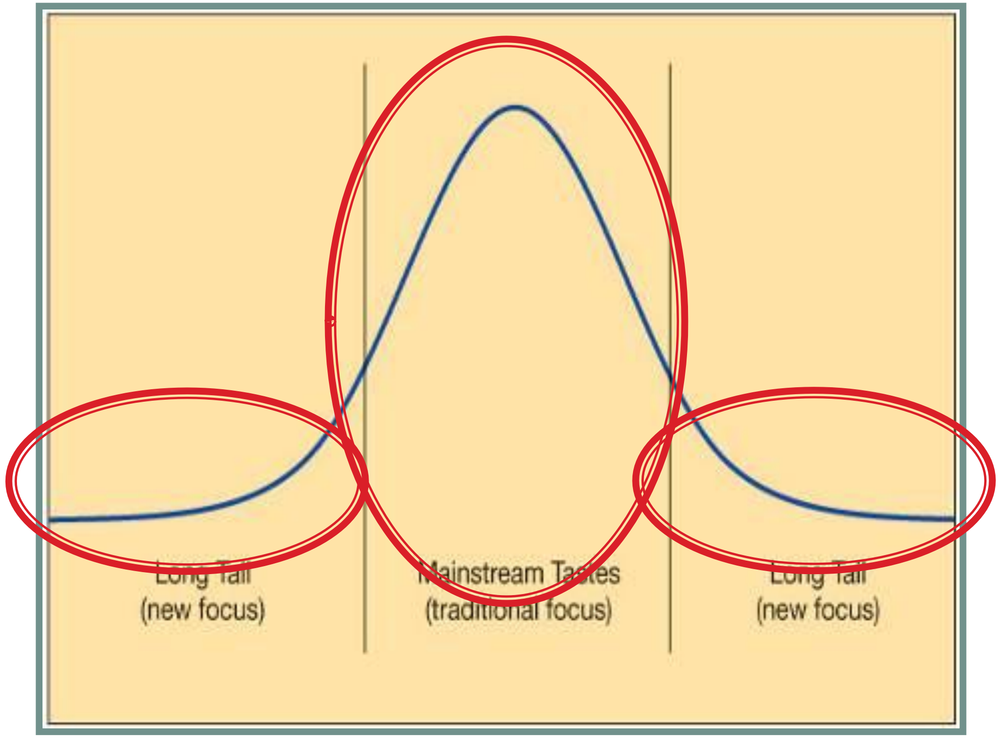
- **Electronic Commerce (e-commerce):**
  - The online exchange of goods, services, and money among firms, between firms and their customers, and between customers
- **Electronic Business (e-business):**
  - Any process that an organization (for-profit, governmental, or nonprofit entity) conducts over a computer network

Recap – Unique Features of EC

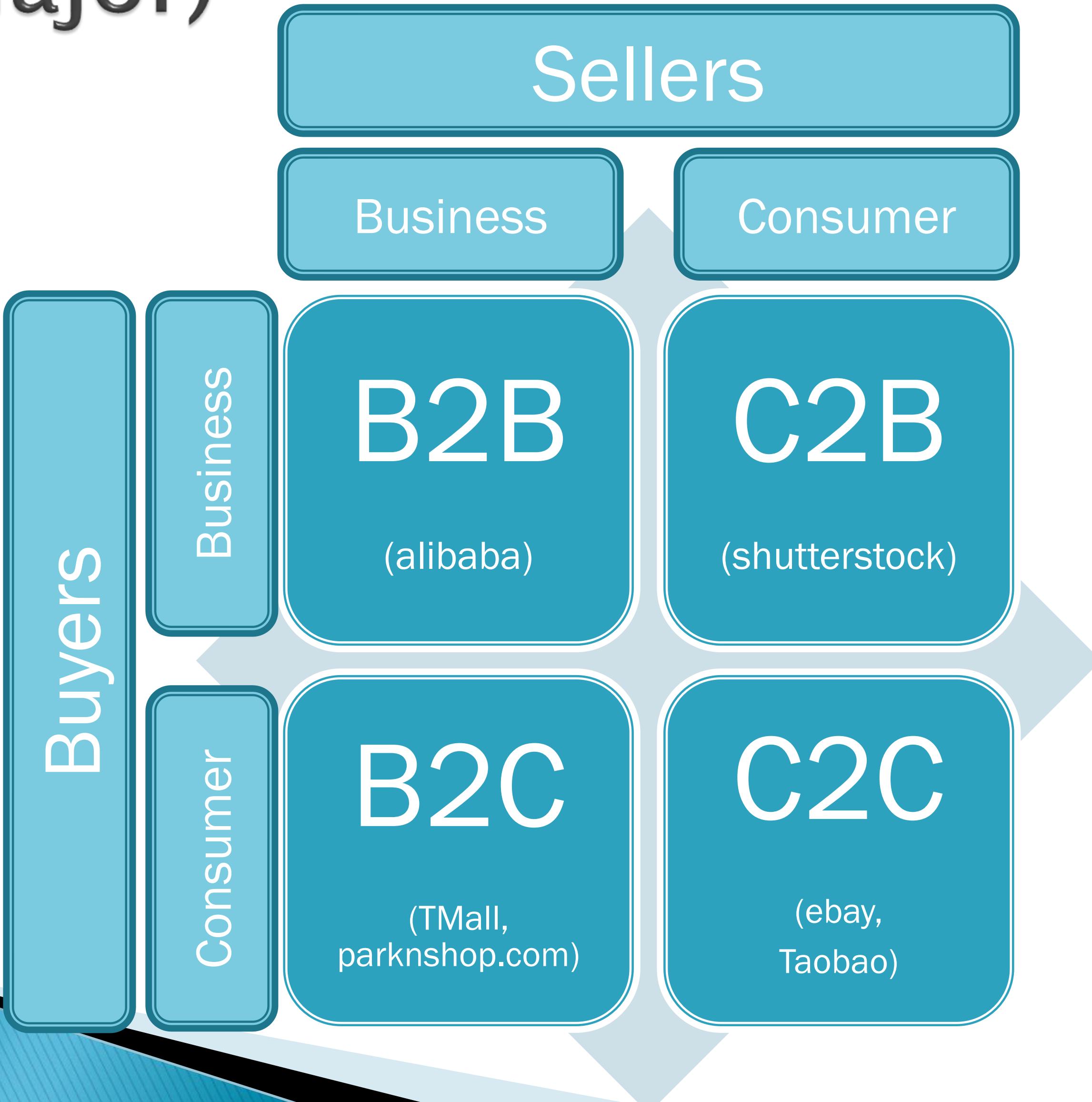
1. Ubiquity
2. Global reach
3. Universal standards
4. Richness
5. Interactivity
6. Personalization/Customization
7. Social Technology

Recap – The Long Tail

- Traditional stores
  - Focus on mainstream needs
  - Target the average customer
- E-commerce
  - Can focus on niche markets



Recap – E-commerce interactions (major)



Recap – E-commerce interactions

- **Mobile commerce (m-commerce)**
  - Electronic transactions conducted using a wireless, mobile device and mobile networks
    - that lead to the transfer of real or perceived value in exchange for information, services, or goods
  - Location-based services
    - highly personalized mobile services based on a user's location
- **Social Commerce (social business)**
  - Use of social network(s) and or Web2.0 software in the context of e-commerce transactions

Recap – Electronic Commerce

- Social Commerce
- Web 2.0
- Social Computing
- Social Networks

Recap – Electronic Commerce

- **Electronic market (e-marketplace)**

  An online marketplace where buyers and sellers meet to exchange goods, services, money, or information

  - **Intranet/extranet**

- **E-government**

Recap – Electronic Commerce

- **Web 2.0**
  - The second generation of Internet-based services that lets people collaborate and share information online in new ways, such as social networking sites, wikis, communication tools, and folksonomies

- **Social Computing**
  - An approach aimed at making the human-computer interface more natural

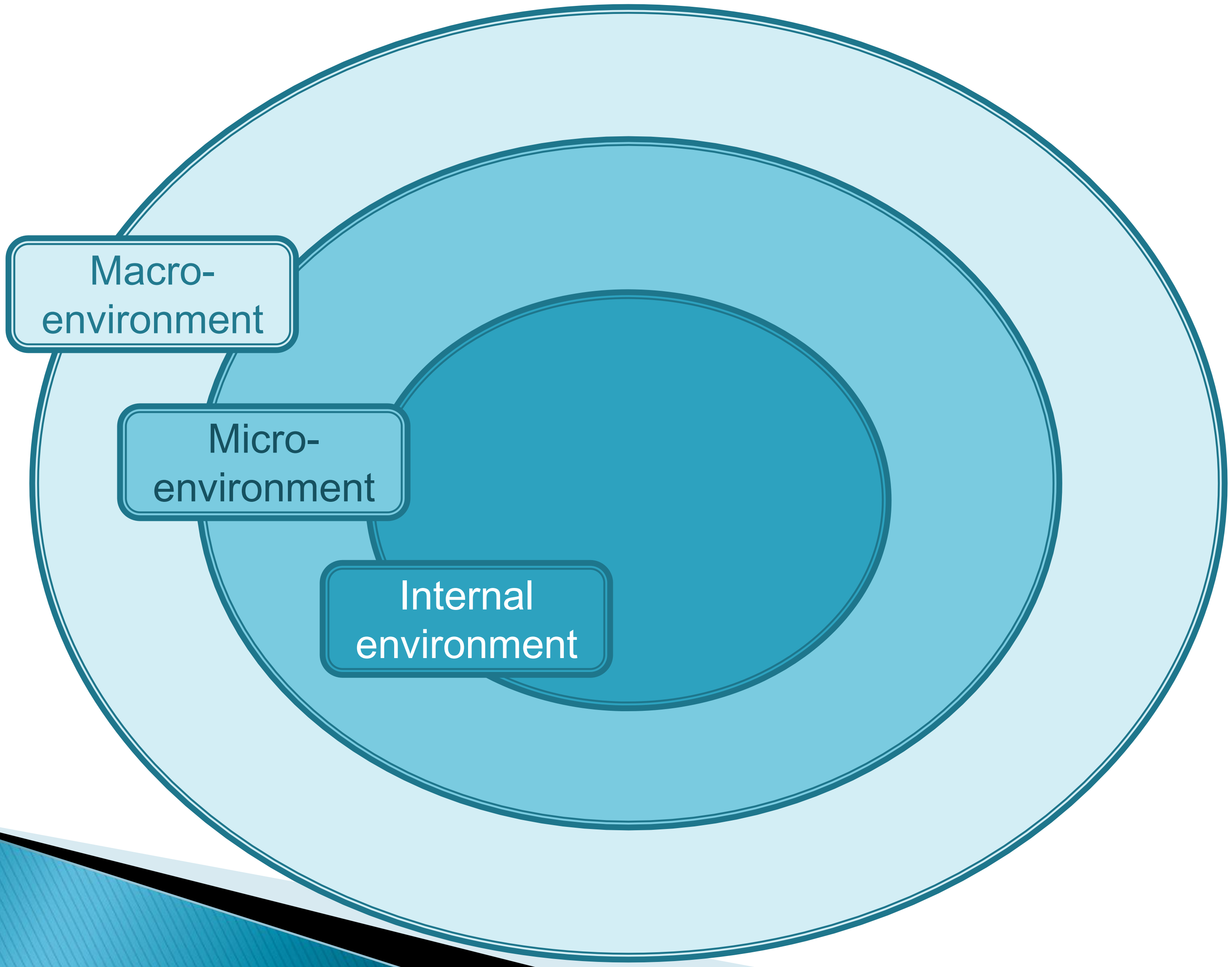
Recap – Electronic Commerce

- **Social Networks**
  - A category of Internet applications that help connect friends, business partners, or individuals with specific interests by providing free services such as photo presentation, e-mail, blogging, and so on using a variety of tools

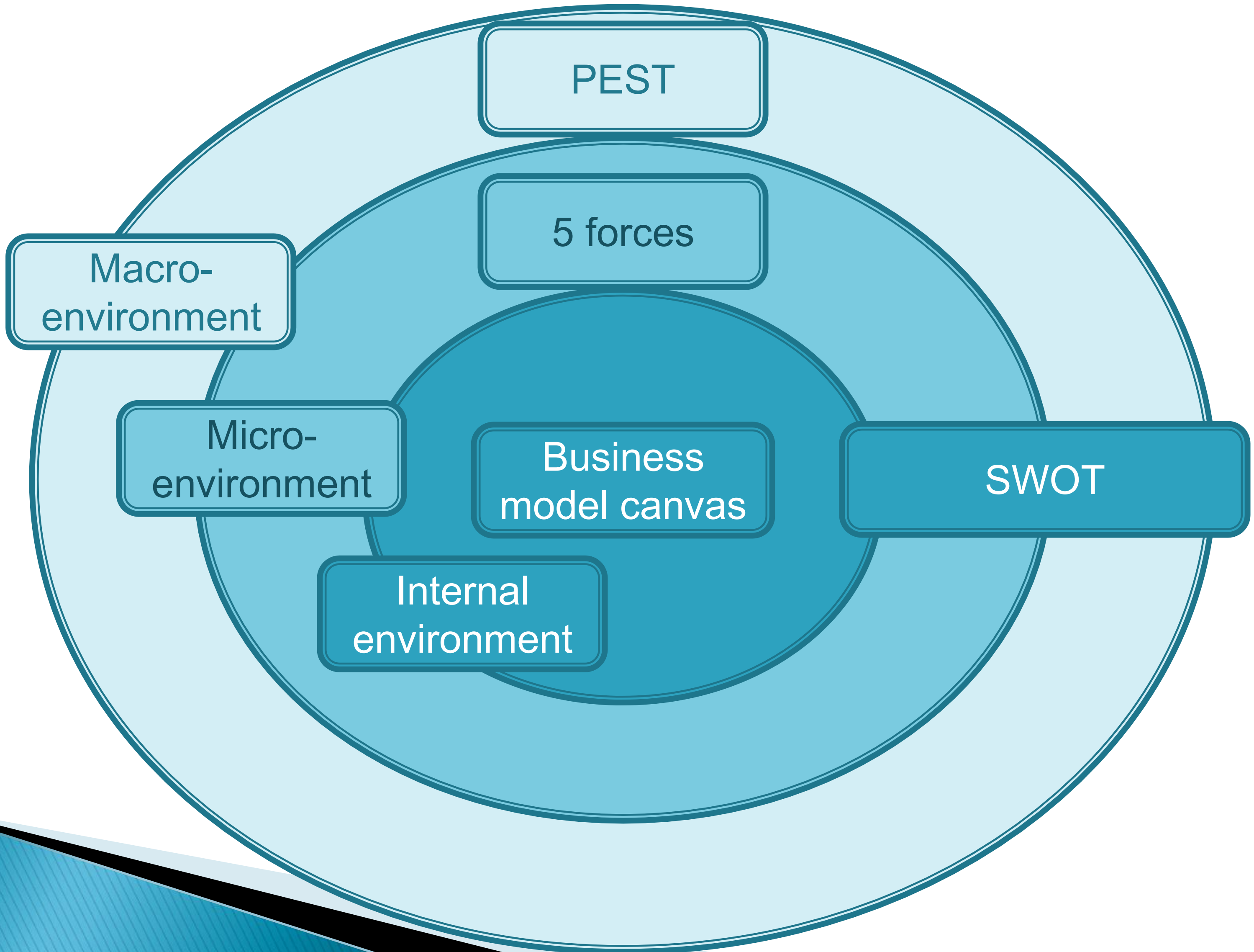
Learning Objectives

- How to analyze the internal and external environment an organization faces
- PEST Analysis, SWOT, Porter's 5 Forces, Business Model Canvas
- Organizational Strategy

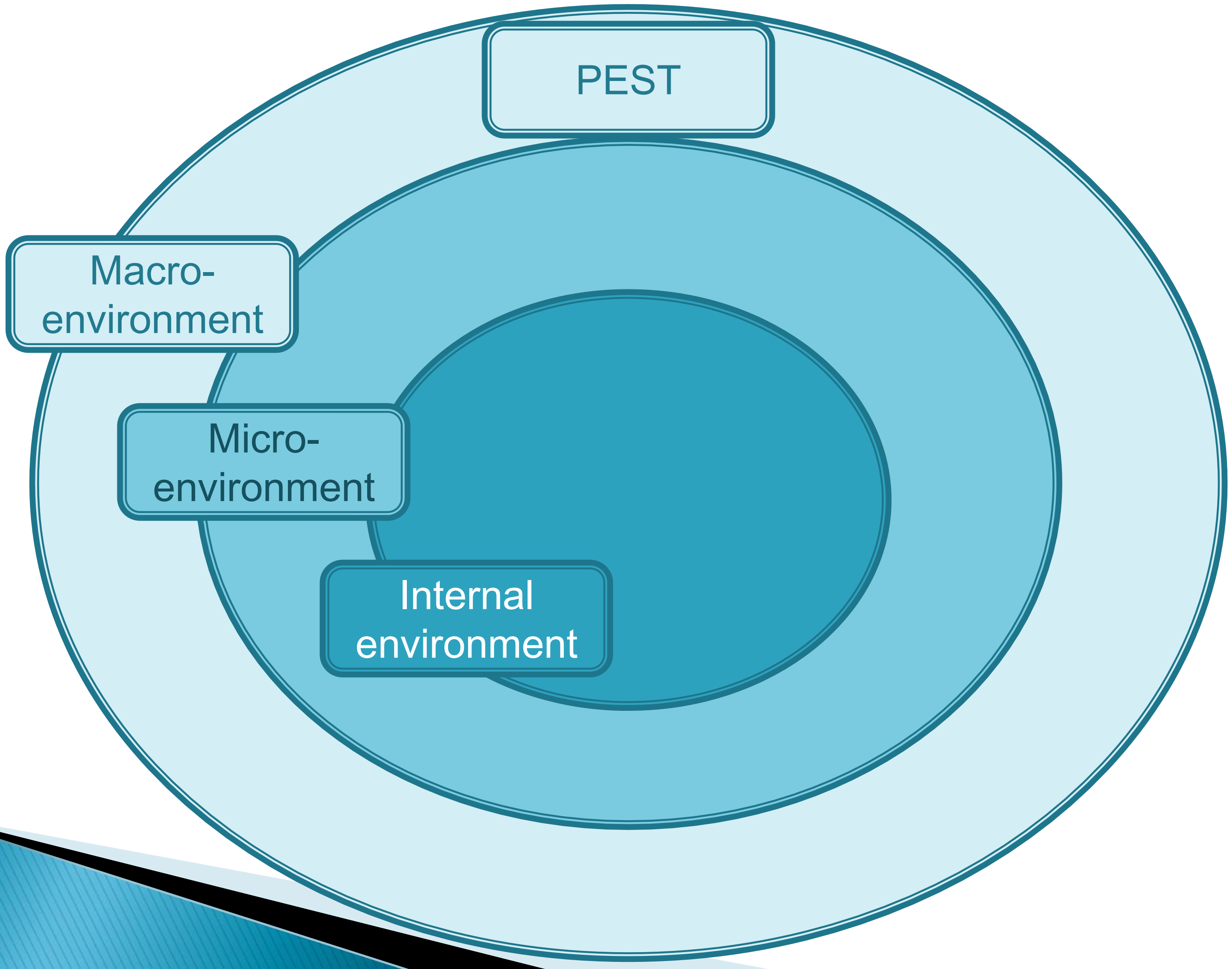
Organizational environment



Analyzing the environment



Analyzing the environment



PEST

- **PEST—the “big picture”**
  - Macro-environment
- Forces of change a business is exposed to
  - Political
  - Economic
  - Socio-cultural
  - Technological

PEST—Political Factors

- Directly impact the way business operates
- Policies and legislation
  - Often affect all companies
- International political factors can also have an impact on businesses

PEST—Political Factors

- Governmental approaches to corporate policy, corporate social responsibility, environmental issues, and customer protection legislation?
- Change in local, state/provincial, or national government?
  - When?
  - How could this change policies?
  - Who's most likely to win?
- Property rights and the rule of law?
- Corruption and organized crime?
  - How likely are these situations to change?
- Pending legislation or taxation changes?

PEST—Economic Factors

- All businesses are affected by economic factors nationally and globally
- Climate of the economy → consumer confidence & behavior
- Booming economy vs. Recession
- Effects of global economies
  - Availability of labor, climate of economy, etc. in other countries affects competitiveness and demand for products

PEST—Economic Factors

- State and stability of current economy?
- Stability of key exchange rates?
- Customers' levels of disposable income?
- Unemployment rate?
- Access to credit (businesses & consumers)?
- Effect of globalization on economic environment?

PEST—Socio-Cultural Factors

- Factors within society affect attitudes, interests, and opinions
- Socio-cultural factors influence
  - who we are as people
  - the way we behave
  - what we ultimately purchase
- Population changes → direct impact on all organizations
  - Supply and demand of goods and services
  - Supply of labor

PEST—Socio-Cultural Factors

- Population's growth rate and age profile?
- Generational shifts in attitude?
- Society's levels of health, education, and social mobility?
- Employment patterns, job market trends, and attitudes toward work can you observe?
- Social attitudes and social taboos?
- Religious beliefs and lifestyle choices?

PEST—Technological Factors

- Changes in technology → how businesses operate
- Impact of Internet
  - Challenges and opportunities

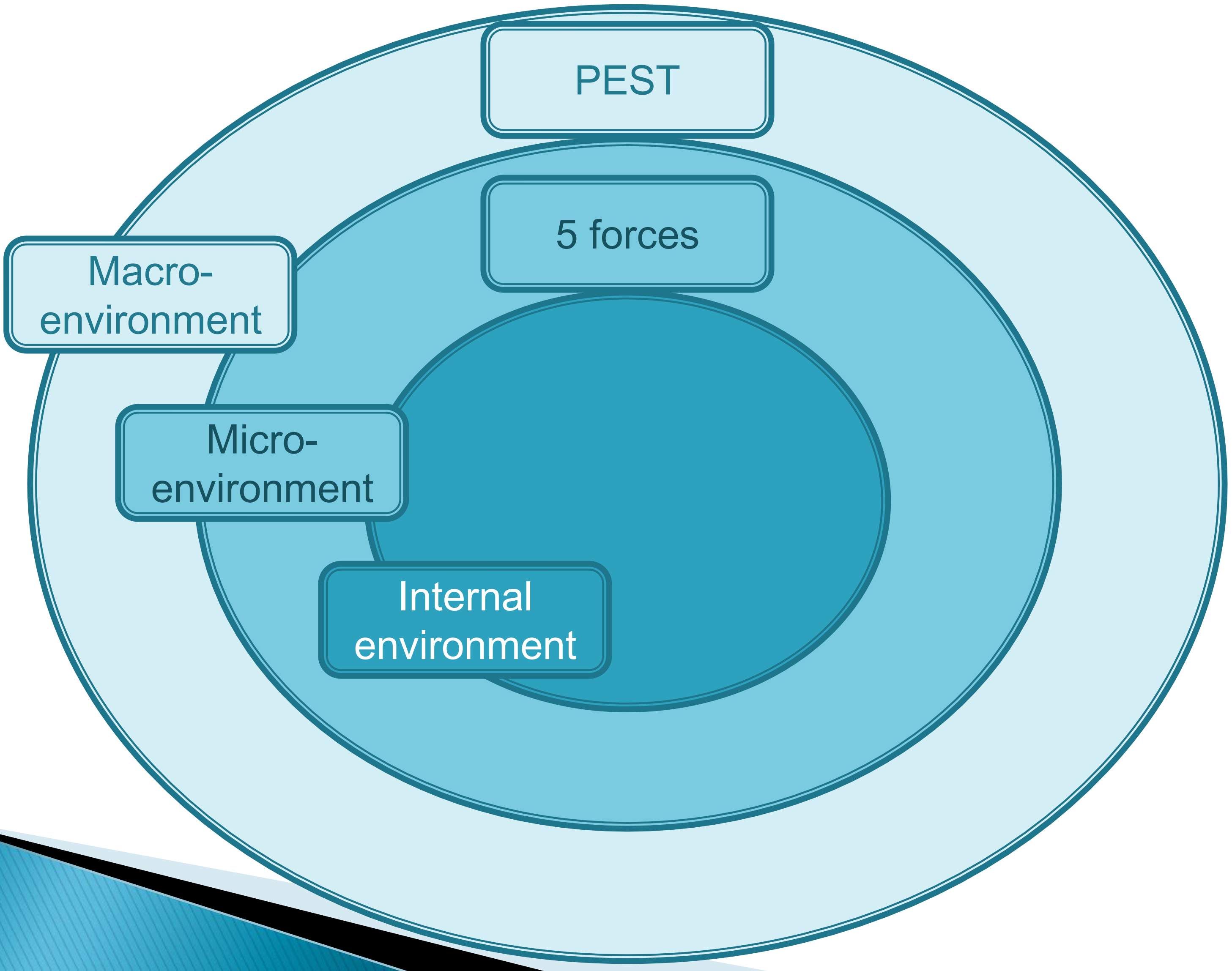
PEST—Technological Factors

- New technologies that you could be using?
- New technologies that could radically affect your work or your industry?
- Competitors’ access to new technologies that could redefine their products?
- Research focus of governments and educational institutions?

PEST—Variations

- PESTL, PESTEL, STEEPL,….
  - Legal factors
  - Environmental factors
- Factors typically influence PEST in some way

Analyzing the environment



Porter's Five Forces

- Analyze the competitive landscape
  - Micro-environment
- How attractive is an industry?

Porter's Five Forces Model

http://www.youtube.com/watch_popup?v=mYF2_FBCvXw

PORTER'S FIVE FORCES MODEL

- The **Five Forces Model** helps business people understand the relative attractiveness of an industry and the industry's competitive pressures in terms of
  1. Buyer power
  2. Supplier power
  3. Threat of substitute products or services
  4. Threat of new entrants
  5. Rivalry among existing competitors

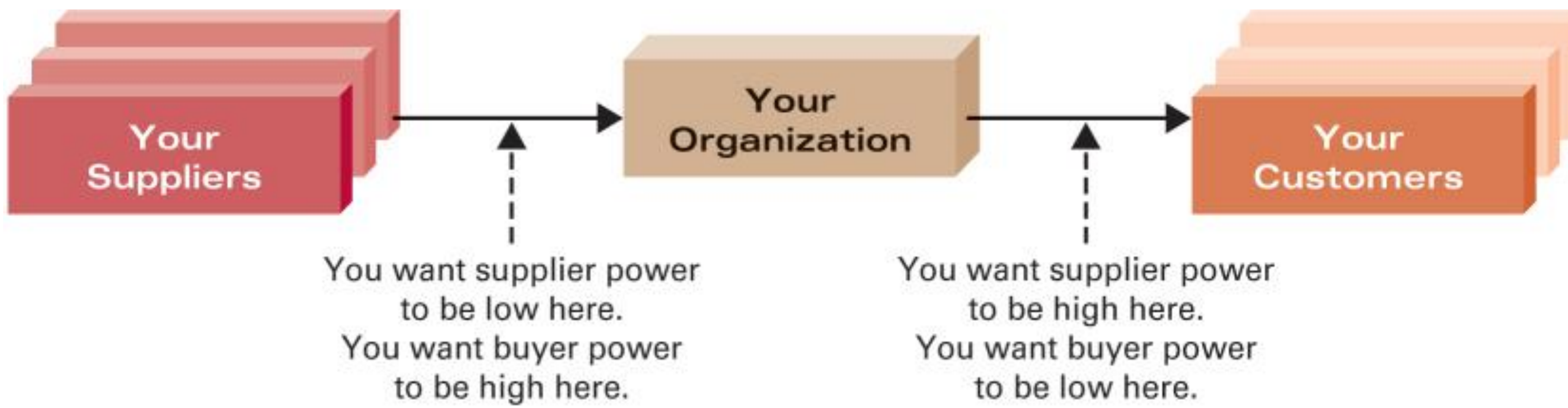
Buyer Power

- **Buyer power** – high when buyers have many choices and low when their choices are few

- Competitive advantages are created to get buyers to stay with a given company
  - NetFlix – set up and maintain your movie list
  - United Airlines – frequent flyer program
  - Apple iTunes – buy/manage your music
  - Dell – customize a computer purchase

Supplier Power

- **Supplier power** – high when buyers have few choices and low when choices are many
- The opposite of buyer power



Threat of Substitute Products and Services

- **Threat of substitute products and services** – high when there are many alternatives for buyers and low when there are few alternatives

- Switching costs of services can reduce this threat

- **Switching cost** – a cost that makes buyers reluctant to switch to another service

Threat of New Entrants

- **Threat of new entrants** – high when it is easy for competitors to enter the market and low when entry barriers are significant
- **Entry barrier** –service feature that customers have come to expect and that must be offered by an entering organization
  - Banking – ATMs, online bill pay,

Rivalry Among Existing Competitors

- **Rivalry among existing competitors** – high when competition is fierce and low when competition is more complacent

Generic Strategies – Achieve Competitive Advantage

- How can an organization gain a sustained competitive advantage?
  - Need to develop a strategy of performing activities differently than a competitor
- **Cost leadership strategy**

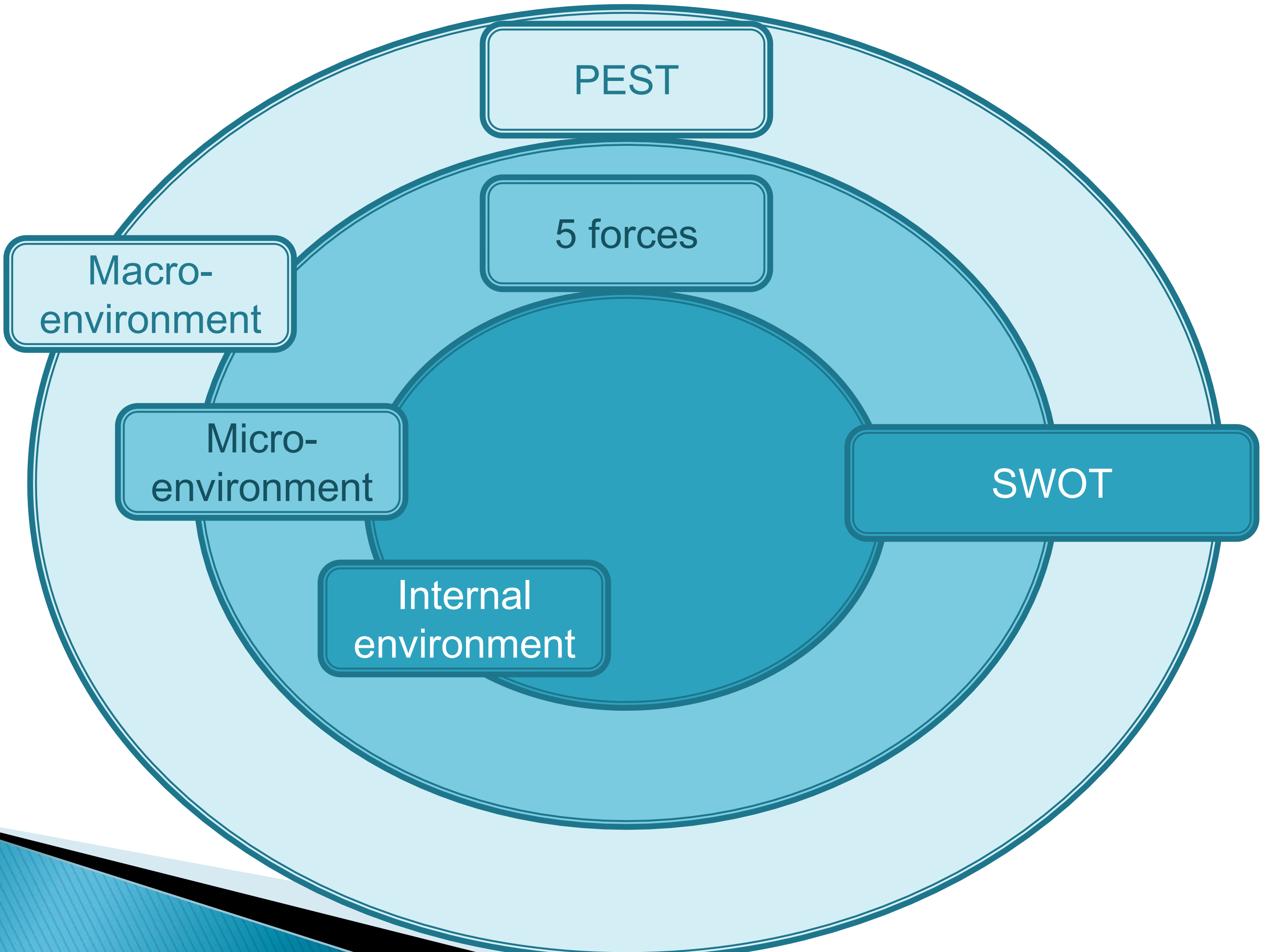
  Low cost
  - Produce products and/or services at the lowest cost in the industry
- **Differentiation strategy**

  Product uniqueness
  - Offer different products, services, or product features
- **Niche strategy**
  - Select a narrow-scope segment (niche market) and be the best in quality, speed, or cost in that market

Generic Strategies – Achieve Competitive Advantage

- **Growth strategy**
  - Increase market share, acquire more customers, or sell more products
- **Alliance strategy**
  - Partnerships, alliances, joint ventures, or virtual companies.
- **Innovation strategy**
  - Introduce new products and services, put new features in existing products and services, or develop new ways to produce them.
- **Entry-barriers strategy**
  - Create barriers to entry

Analyzing the environment



SWOT

- Focuses on a business unit, a proposition or idea
- Bridges internal and external analyses

	+	-
Internal	Strengths	Weaknesses
External	Opportunities	Threats

SWOT

- **Internal factors**
  - products, pricing, costs, profitability, performance, quality, people, skills, adaptability, brands, services, reputation, processes, infrastructure, etc.
- **External factors**
  - markets, sectors, audience, fashion, seasonality, trends, competition, economics, politics, society, culture, technology, environmental, media, law, etc.

SWOT—Strengths

- What advantages does your organization have?
- What do you do better than anyone else?
- What unique or lowest-cost resources can you draw upon that others can't?
- What do people in your market see as your strengths?
- What is your value proposition?

SWOT—Weaknesses

- What could you improve?
  - Morale, leadership…
- What are people in your market likely to see as weaknesses?
  - Reputation, accreditation,…
- What factors lose you sales?
  - Supply chain, capabilities,…
- Are your competitors doing any better than you?

SWOT—Opportunities

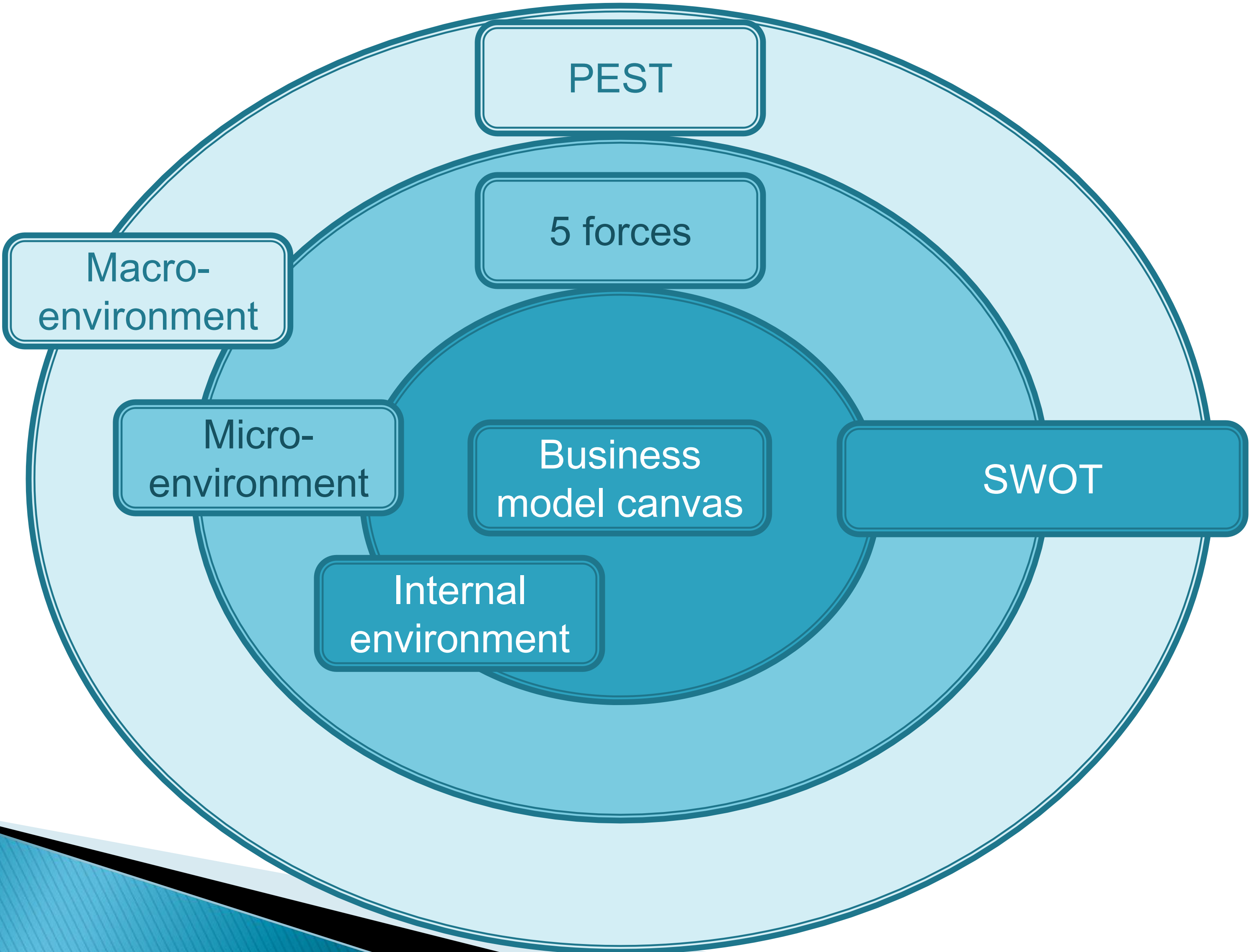
- What good opportunities can you spot?
- What interesting trends are you aware of?

  - Changes in technology and markets
  - Changes in government policy
  - Changes in social patterns, population profiles, lifestyle changes,…

SWOT—Threats

- What obstacles do you face?
  - Political, legislative, employment market, economy…
- What are your competitors doing?
- Is changing technology threatening your position?
- How are you vital partners doing,…

Analyzing the environment



Business Model Canvas

- Describing, analyzing, and designing business models
- Business model: how an organization creates, delivers, and captures value
  - What does a company do?
  - How does a company uniquely do it?
  - In what way (or ways) does the company get paid for doing it?
  - What are the key resources and activities needed?
  - What are the costs involved?

The Business Model Canvas

Designed for:

Designed by:

On: Day Month Year

Iteration: No.

Key Partners

Who are our Key Partners?
Who are our key suppliers?
Which Key Resources are we acquiring from partners?
Which Key Activities do partners perform?

MOTIVATIONS FOR PARTNERSHIPS:
Optimization and economy
Reduction of risk and uncertainty
Acquisition of particular resources and activities

Key Activities

What Key Activities do our Value Propositions require?
Our Distribution Channels?
Customer Relationships?
Revenue streams?

CATEGORIES
Production
Problem Solving
Platform/Network

Key Resources

What Key Resources do our Value Propositions require?
Our Distribution Channels? Customer Relationships?
Revenue Streams?

TYPES OF RESOURCES
Physical
Intellectual (brand patents, copyrights, data)
Human
Financial

Value Propositions

What value do we deliver to the customer?
Which one of our customer's problems are we helping to solve?
What bundles of products and services are we offering to each Customer Segment?
Which customer needs are we satisfying?

CHARACTERISTICS
Newness
Performance
Customization
"Getting the Job Done"
Design
Brand/Status
Price
Cost Reduction
Risk Reduction
Accessibility
Convenience/Usability

Customer Relationships

What type of relationship does each of our Customer Segments expect us to establish and maintain with them?
Which ones have we established?
How are they integrated with the rest of our business model?
How costly are they?

EXAMPLES
Personal assistance
Dedicated Personal Assistance
Self-Service
Automated Services
Communities
Co-creation

Channels

Through which Channels do our Customer Segments want to be reached?
How are we reaching them now?
How are our Channels integrated?
Which ones work best?
Which ones are most cost-efficient?
How are we integrating them with customer routines?

CHANNEL PHASES:
1. *Awareness*
   How do we raise awareness about our company's products and services?
2. *Evaluation*
   How do we help customers evaluate our organization's Value Proposition?
3. *Purchase*
   How do we allow customers to purchase specific products and services?
4. *Delivery*
   How do we deliver a Value Proposition to customers?
5. *After sales*
   How do we provide post-purchase customer support?

Customer Segments

For whom are we creating value?
Who are our most important customers?

Mass Market
Niche Market
Segmented
Diversified
Multi-sided Platform

Cost Structure

What are the most important costs inherent in our business model?
Which Key Resources are most expensive?
Which Key Activities are most expensive?

IS YOUR BUSINESS MORE:
Cost Driven (leanest cost structure, low price value proposition, maximum automation, extensive outsourcing)
Value Driven (focused on value creation, premium value proposition)

SAMPLE CHARACTERISTICS:
Fixed Costs (salaries, rents, utilities)
Variable costs
Economies of scale
Economies of scope

Revenue Streams

For what value are our customers really willing to pay?
For what do they currently pay?
How are they currently paying?
How would they prefer to pay?
How much does each Revenue Stream contribute to overall revenues?

TYPES:	FIXED PRICING	DYNAMIC PRICING
Asset sale	*List Price*	*Negotiation(bargaining)*
Usage fee	*Product feature dependent*	*Yield Management*
Subscription Fees	*Customer segment dependent*	*Real-time-Market*
Lending/Renting/Leasing	*Volume dependent*	
Licensing		
Brokerage fees		
Advertising		

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Organizational Strategy

- **Strategy**

  A broad-based formula for how a business is going to accomplish its mission, what its goals should be, and what plans and policies will be needed to carry out those goals

Strategic Planning Process

- **Strategy Initiation**

  The initial phase of strategic planning in which the organization examines itself and its environment

- **Strategy Initiation**
  - Company Analysis and value proposition
  - Core competencies
  - Forecasts
  - Competitor Analysis

Strategic Planning Process

- **Strategy Formulation**

  The development of strategies to exploit opportunities and manage threats in the business environment in light of corporate strengths and weaknesses

- **Strategy Formulation**
  - Business Opportunities
  - Cost – Benefit Analysis
  - Risk Analysis, assessment and management
  - Business Plan

Strategic Planning Process

- **Strategy Implementation**

  The development of detailed, short-term plans for carrying out the projects agreed on in strategy formulation

- **Strategy Implementation**
  - Project Planning
  - Resource Allocation
  - Project Management

Strategic Planning Process

- **Strategy Assessment**

  The continuous evaluation of progress toward the organization's strategic goals, resulting in corrective action and, if necessary, strategy reformulation

Strategic Planning Process

- **Strategic Planning Tools**
  - Strategy map
  - SWOT analysis
  - Competitor analysis grid
  - Scenario planning
  - Balanced scorecard
  - Business plan
  - Business case

Summary

- Organizational Environment
  - PEST Analysis
  - SWOT
  - Porter’s 5 Forces
  - Business Model Canvas
- Organizational Strategy
  - Strategy Initiation
  - Strategy Formulation
  - Strategy Implementation
  - Strategy Assessment